Sector Underwriting Note: Auto Components

ASHVA CAPITAL CREDIT POLICY MANUAL
PART IV: SECTOR-SPECIFIC UNDERWRITING GUIDELINES
SUB-SECTION 8.14: AUTO COMPONENTS SME LENDING

8.14.1 SCOPE AND APPLICABILITY This underwriting note applies to all working capital, term loan, and equipment financing applications originated for Small and Medium Enterprises (SMEs) operating within the Auto Components sub-sector (NAICS 3363 / NIC 29301), including Tier-2 and Tier-3 suppliers engaged in precision machining, metal stamping, plastic injection molding, electrical wiring harnesses, and rubber/silicone seals.

8.14.2 SECTOR WORKING CAPITAL CYCLE Underwriters shall evaluate working capital facilities based on a baseline Net Working Capital (NWC) cycle of 100 calendar days, structured as follows:

1. Raw Material Inventory Holding: 35 days
2. Work-in-Progress (WIP) Holding: 15 days
3. Finished Goods Holding: 20 days
4. Receivables Realization (OEM / Tier-1 Buyers): 75 days
5. Trade Payables Window: 45 days

Operational Rule: Any borrower exhibiting a Total Working Capital Cycle exceeding 120 days is strictly ineligible for automated credit scoring and must be escalated to the Senior Credit Committee for manual cash-flow stress testing.

8.14.3 DEBT SERVICE COVERAGE RATIO (DSCR) STANDARDS To buffer against OEM margin compression and capital expenditure demands, the sector-specific minimum DSCR for Auto Component SMEs is established at 1.35x, overriding Ashva Capital’s standard baseline requirement of 1.25x.

* 1.35x DSCR Floor: Mandated for all facilities up to $3.0M.
* 1.45x DSCR Floor: Mandated for borrowers where >40% of revenues are derived from the Commercial Vehicle (CV) segment, due to higher cyclicality.

8.14.4 NUMERIC MANDATORY THRESHOLDS Underwriters are bound by the following non-negotiable operational and financial parameters. Breaches of any single parameter require a formal Risk Waiver signed by the Chief Credit Officer (CCO).

Parameter	Threshold Limit	Action Upon Breach
DSCR Floor	1.35x	Immediate rejection if <1.25x; CCO waiver required for 1.25x–1.34x
Single-OEM Customer Concentration	45.0% of total gross revenue	Haircut eligible receivables borrowing base by 30%
Max Total Debt / EBITDA	3.20x	Decline facility extension
Minimum Gross Margin	14.5%	Decline facility extension
Maximum Receivables Past-Due Age	90 days from invoice date	Exclude invoices >90 days from collateral borrowing base
Minimum Tangible Net Worth (TNW)	$750,000	Exclude from SME simplified program; transfer to Corporate Risk

8.14.5 SEASONALITY ADJUSTMENTS AND STRESS TESTING The auto components sector experiences seasonal production lulls during annual OEM plant maintenance shutdowns (April and December) and demand surges preceding Q3 model-year rollouts and festive sales periods (August through October).

1. Cash Flow Testing Model: Debt service capacity must be tested using a simulated 30.0% drop in monthly revenue across the months of April and December. The borrower must maintain a minimum monthly Liquidity Coverage Ratio (LCR) of 1.10x during these two stress months.
2. Moratorium Structure: Working Capital demand loans may include a principal repayment holiday during the month of April, provided the borrower deposits 150% of the debt service obligation for April into a Debt Service Reserve Account (DSRA) no later than March 15.

8.14.6 PRIMARY CAUSES OF SECTOR DISTRESS Underwriters must specifically evaluate and document risk mitigants for the two primary drivers of default in this sector:

1. OEM Price-Down Clauses (Margin Squeeze): Original Equipment Manufacturers routinely enforce mandatory annual price reductions of 2.0% to 4.0% on Tier-2/Tier-3 components. The underwriter must verify that the borrower has achieved a minimum 3.0% annual productivity yield gain or raw material cost reduction over the preceding 24 months to maintain operating margins.
2. Raw Material Pass-Through Lag: Price inflation in input commodities (steel, aluminum, synthetic rubber) is passed on to OEMs with a contractual lag of 60 to 90 days. Underwriters must confirm the presence of an active Price Variation Clause (PVC) in customer contracts. If no PVC exists, the underwriter must apply an additional 250 basis point reduction to projected operating margins.

8.14.7 ACCEPTABLE COLLATERAL TYPES AND ADVANCE RATES Facilities must be secured by first-ranking charges over approved collateral types. Advance rates and haircuts are defined below:

1. Book Debts (Receivables):
* Approved Tier-1 OEMs / Auto Majors: 70% Advance Rate (Invoices capped at 75 days).
* Tier-2 Suppliers / Aftermarket Distributors: 50% Advance Rate (Invoices capped at 60 days).
2. Inventory:
* Raw Materials (Steel coils, aluminum ingots, standard resins): 50% Advance Rate.
* Work-in-Progress (WIP): 0% Advance Rate (Ineligible collateral).
* Finished Goods: 40% Advance Rate (Subject to a 60-day aging limit).
3. Plant & Machinery (P&M):
* Specialized tooling and dies: 0% Advance Rate (Ineligible due to zero re-sale market).
* General purpose CNC machines, heavy stamping presses (>200 ton), and injection molding machinery: Maximum 50% LTV based on Orderly Liquidation Value (OLV) established by an Ashva-approved appraiser within the last 90 days.
4. Industrial Real Estate: Maximum 65% LTV against appraised Fair Market Value (FMV).

8.14.8 SECTOR EXPOSURE CAP AND CONCENTRATION LIMITS To prevent systemic portfolio risk, Ashva Capital enforces strict portfolio-level exposure caps on the Auto Components SME sector:

1. Maximum Sector Portfolio Hold: The aggregate outstanding exposure (funded and non-funded) to the Auto Components SME sector shall not exceed 8.5% of Ashva Capital’s total live SME loan book.
2. Sub-Segment Concentration Cap: Exposure to borrowers exclusively serving the Internal Combustion Engine (ICE) powertrain segment is capped at 3.0% of total SME portfolio book value, reflecting energy transition risk.
3. Cap Breach Governance: If sector exposure reaches 8.0% (the Warning Threshold), the Portfolio Risk Officer shall lock automated originations for the sector. Approvals beyond 8.0% up to the 8.5% hard cap require joint sign-off from the Chief Credit Officer (CCO) and the Chief Risk Officer (CRO).